



Zensar Tech's Q4FY22 performance was slightly above our expectations on the revenue growth front while EBITDA margins were a tad bit lower than our expectations. Order-book was robust at \$165.6 Mn with a 32% qoq growth

- \$ revenue: \$153.2 Mn, +4.1% qoq / +27.4% yoy and 1% above our estimates
- INR revenue at 11,538 Mn, +4.7% qoq / +31.7% yoy and +1.4% above our estimates
- EBITDA: INR 1,642 Mn, +3.6% qoq / -4.6% yoy and in-line with our estimates
- EBITDA margins: 14.2%, vs 14.4% / 19.7% in Q3FY22 / Q4FY21 respectively and _20 bps below our estimates_
- EBIT: INR 1,161 Mn, +4.5% qoq / -9.1% yoy and in-line with our estimates
- EBIT margins: 10.1%, vs 10.1% / 14.6% in Q3FY22 / Q4FY21 respectively and 10 bps lower than estimates
- PAT: INR 1,299 Mn, +40.6% qoq / +43.4% yoy and 34.9% above our estimates. This was mainly due to high Other Income which stood at INR 475 Mn in Q4FY22 vs INR 154 Mn / INR 104 Mn in Q3FY22 / Q4FY21 respectively
- EPS at INR 5.8 in Q4FY22 vs 4.1 / 4 in Q3FY22 / Q4FY21 respectively and versus our estimate of INR 4.3
- Orderbook was encouraging and highest ever at \$165.6 Mn vs \$125 Mn / \$100 Mn in Q3FY22 / Q4FY21
- Company appointed Sachin Zute as new CFO _Mr. Sachin Zute has more than 2 decades of experience in Banking, IT Services and Consulting. Prior to Zensar he was with Infosys where he served as VP Finance and Head of Business Finance Industry segments, M&A and Treasury.
- Declared a final dividend of INR 3.5 per share

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	41,817	37,814	42,437	50,072	56,668
EBITDA	5,071	6,848	6,566	7,554	9,209
Adjusted net profit	2,716	3,561	4,216	4,454	5,647
Free cash flow	6,101	11,550	8,000	9,491	10,862
EPS (Rs)	12.0	15.8	18.7	19.7	25.0
growth (%)	-15%	31%	18%	6%	27%
P/E (x)	24.5	21.7	15.8	15.0	11.8
P/B (x)	3.2	2.8	2.5	2.2	2.0
EV/EBITDA (x)	12.7	8.8	8.5	6.9	5.3
D/E	-	-	-	-	-
ROCE (%)	14.1	19.0	16.8	17.1	19.6
RoE (%)	13.5	16.1	16.9	15.7	17.6
Dividend yield (%)	0.9	1.2	1.3	1.7	2.1

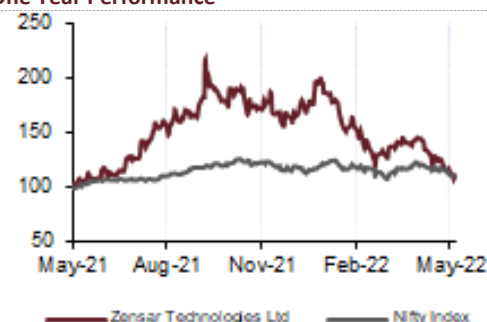
Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY	425	44

Market data

Current price	Rs	295
Market Cap (Rs.Bn)	(Rs Bn)	67
Market Cap (US\$ Mn)	(US\$ Mn)	860
Face Value	Rs	2
52 Weeks High/Low	Rs	587 / 254.7
Average Daily Volume	('000)	575
BSE Code		504067
Bloomberg		ZENT.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	49.09	49.10
Public	50.91	50.9
Total	100	100

Source: Bloomberg

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Segment-wise Performance

- **Banking** (14.3% of revenue) led the growth at 5.9% qoq in cc terms followed by **Insurance** (17.7% of revenue) at 4.9% qoq in cc terms
- **Consumer Services** (16.1% of revenue) grew at 4% qoq in cc terms
- **Hi-Tech** (36.4% of revenue) reported a growth of 3.5% qoq in cc terms
- **Manufacturing** (9.5% of revenue) grew at 2.1% qoq in cc terms

Revenue By Industry Contribution and Trend										
as % of Revenue	Q1 FY 21	Q2 FY 21	Q3 FY 21	Q4 FY21	FY21	Q1 FY 22	Q2 FY 22	Q3 FY 22	Q4 FY 22	FY22
Hi Tech	45.6%	43.1%	39.6%	39.1%	41.9%	41.9%	39.0%	36.7%	36.4%	38.4%
Mfg	12.3%	11.9%	12.3%	12.4%	12.2%	11.3%	10.8%	9.7%	9.5%	10.3%
Consumer Services	12.4%	13.9%	15.3%	15.3%	14.2%	14.5%	15.4%	16.1%	16.1%	15.6%
Insurance	19.4%	20.2%	19.3%	20.2%	19.8%	18.7%	18.8%	17.6%	17.7%	18.2%
Banking	7.9%	8.9%	9.6%	10.0%	9.1%	9.9%	12.2%	14.1%	14.3%	12.8%
Emerging	2.4%	2.1%	3.9%	3.0%	2.8%	3.7%	3.8%	5.8%	5.9%	4.9%
Hi Tech	57.1	54.2	48.6	47.0	206.9	53.3	55.4	53.9	55.8	214.4
Q-o-Q	-3%	-5%	-10%	-3%		13%	4%	-3%	4%	
Y-o-Y	-6%	-11%	-18%	-20%	-14%	-7%	2%	11%	19%	4%
Mfg	15.4	15.0	15.1	14.9	60.4	14.3	15.3	14.3	14.6	57.5
Q-o-Q	-10%	-3%	1%	-1%		-4%	7%	-6%	2%	
Y-o-Y	-24%	-24%	-22%	-13%	-21%	-7%	2%	-5%	-2%	-5%
Consumer Services	15.5	17.5	18.8	18.4	70.1	18.5	21.8	23.7	24.6	87.0
Q-o-Q	-24%	13%	8%	-2%		1%	18%	9%	4%	
Y-o-Y	-42%	-28%	-2%	-10%	-23%	19%	25%	26%	34%	24%
Insurance	24.3	25.4	23.8	24.3	97.7	23.8	26.7	25.9	27.1	101.5
Q-o-Q	-1.3%	5%	-7%	2%		-2%	12%	-3%	5%	
Y-o-Y	-12%	-20%	-18%	-12%	-18%	-2%	5%	9%	12%	4%
Banking	9.9	11.1	11.8	12.0	44.8	12.6	17.3	20.8	22.0	71.3
Q-o-Q	-24%	12%	6%	2%		5%	37%	20%	6%	
Y-o-Y	-6%	-3%	-5%	-8%	-6%	27%	55%	76%	83%	59%
Emerging	3.0	2.7	4.8	3.6	14.0	4.7	5.4	8.5	9.0	27.1
Q-o-Q	-18%	-11%	79%	-24%		29%	16%	57%	6%	
Y-o-Y	-62%	-34%	17%	0%	-28%	56%	104%	79%	148%	93%

Source: Company, D&B Research

Revenue By Services Contribution and Trend										
as % of Revenue	Q1 FY 21	Q2 FY 21	Q3 FY 21	Q4 FY21	FY21	Q1 FY 22	Q2 FY 22	Q3 FY 22	Q4 FY 22	FY22
Digital & Application Services (DAS)	84.9%	85.1%	84.9%	84.9%	85.0%	85.4%	84.8%	82.3%	81.7%	83.5%
Digital Services	52.8%	54.3%	55.0%	55.9%	54.5%	57.9%	61.5%	59.9%	59.8%	59.8%
Core Application Services	32.1%	30.8%	29.9%	29.0%	30.5%	27.5%	23.3%	22.5%	22.0%	23.7%
Digital Foundation Services (DFS)	15.1%	14.9%	15.1%	15.1%	15.0%	14.6%	15.2%	17.7%	18.3%	16.5%
Cloud, Digital Led next gen CIS	9.3%	9.5%	10.0%	10.0%	9.7%	10.1%	9.6%	11.7%	12.2%	10.9%
Core Infrastructure Services	5.8%	5.4%	5.1%	5.1%	5.3%	4.5%	5.6%	6.0%	6.1%	5.6%
Total Digital Services	62.2%	63.8%	65.0%	65.9%	64.2%	68.0%	71.1%	71.5%	72.0%	70.8%
Services Trends										
Digital & Application Services (DAS)	106.3	107.1	104.3	102.1	419.7	108.6	120.3	121.1	125.2	466.5
Q-o-Q (%)		0.8%	-2.6%	-2.1%		6.4%	10.7%	0.7%	3.4%	
Y-o-Y (%)					-18.7%	2.2%	12.3%	16.1%	22.7%	11.1%
Digital Services	66	68	68	67	269	74	87	88	92	334
Q-o-Q (%)		3.4%	-1.2%	-0.5%		9.6%	18.5%	0.9%	4.0%	
Core Application Services	40	39	37	35	151	35	33	33	34	132
Q-o-Q (%)		-3.5%	-5.2%	-5.1%		0.3%	-5.6%	0.1%	1.8%	
Digital Foundation Services (DFS)	19	19	19	18	74	19	22	26	28	92
Q-o-Q (%)		-0.9%	-1.1%	-2.1%		2.3%	16.5%	20.4%	7.5%	
Cloud, Digital Led next gen CIS	12	12	12	12	48	13	14	17	19	61
Q-o-Q (%)		2.0%	2.9%	-2.5%		6.9%	6.7%	25.6%	8.6%	
Core Infrastructure Services	7	7	6	6	26	6	8	9	9	31
Q-o-Q (%)		-5.6%	-8.2%	-1.4%		-19.5%	38.2%	11.3%	5.2%	
Total Digital Services	78	80	80	79	317	86	101	105	110	395
Q-o-Q (%)		3.2%	-0.6%	-0.8%		9.2%	16.7%	4.3%	4.8%	
					-1.4%	11.1%	25.7%	31.9%	39.2%	24.7%

Source: Dalal & Broacha Research, Company

Concall Highlights

- Strong growth during the quarter as company is firmly into execution phase of its 'Strategy Refresh' with all Strategic Growth Opportunities (SGOs) firing
- **Margins trajectory:** confident of achieving mid-teens in medium term and high teens in long term with levers such as nurturing organic talent (freshers program), right shoring and near shoring in centres in Columbia, Poland and Kolkata and improving commercials with clients. **Wage hike to impact margins in Q2FY22**
- **Management is on the right track and making steady progress as far as transformation is concerned and maintains its earlier timeline of 4-8 quarters to yield solid results despite the fact that supply crunch caused a setback.** Q4FY22 of 27% yoy US\$ revenue growth and FY22 performance of 15% US\$ revenue growth + broad-based performance + deal wins of \$165 Mn give confidence of delivering healthy growth in the future. Management aspires to achieve top quartile growth in its pack going ahead. On Macro environment, management indicated that growth is secular and demand environment is here to stay.
- **Order book TCV of \$165.6 Mn (growth of 32% qoq) has a 40:60 mix of New and Renewal deals, is broad-based and healthy mix of discretionary and non-discretionary**
- Scaled 2 clients to \$5 Mn category during Q4
- **Attrition at 27.9%** on LTM basis was high **but quarterly attrition saw a drop** and situation should normalize over the next few quarters
- Other Income was high due to write-back of earnouts due to stretched targets in an old acquisition, forex gains and reversal of an accrued liability due to a transaction in its Africa subsidiary
- M3bi contribution was ~\$7.5 Mn per quarter during FY22
- DSO was up by 12 days during the quarter due to delayed billing in a client. However, this should normalize in the next quarter
- Gross addition of 2,331 headcounts during the quarter which included good fresher intake. Utilization should be down in the short term due to the fresher intake but should normalize going forward.
- **Zensar is participating in at least 1 transformation project going on at Top Clients end**
- **Geographically, US performed well** on the back of existing logos. Added new logos during the quarter which should deliver in the forthcoming quarters. **Europe delivered the highest ever growth** on the back of strong deal momentum experience led engineering approach. South Africa delivered a flattish performance
- **SGO-wise: Experience Services** are gaining momentum due to foundational wins in product engineering and product strategy | **Advanced Engineering Services (AES)** is gaining grounds due to transformation from merely Digital Engineering provider to full scale enterprise transformation across industries | **Data Engineering & Analytics** is performing well as experience based approach is resonating well with clients and helping win deals with Hitech and Fintech players | **Salesforce practice** seeing good traction as company expanded into local markets in America | **Digital Foundation Services** continues to develop new products and solutions that take advantage of strong partnerships and hyperscalers
- **Industry-wise: BFSI performed well** due to Insurance vertical and Fintech presence. Banking performed well while **Insurance stabilized during the year and has a strong outlook** | **Consumer Services** performance was driven by strong client engagement led by domain specific capabilities | **Hi-Tech & Manufacturing** saw an uptick from existing clients as well as new logos

Quarterly Deviation Sheet

YE March (Rs. Mn)	Q4 FY22	Q3 FY22	Q-o-Q change %	Q4 FY21	Y-o-Y change %	Q4 FY22 estimates	Deviation %
Net Sales (US\$ Mn)	153.2	147.1	4.1%	120.2	27.4%	151.7	1.0%
Net Sales (INR Mn)	11,538	11,025	4.7%	8,763	31.7%	11,375	1.4%
Less:							
Employee benefits expense	7,118	6,738	5.6%	4,907	45.1%	6,951	2.4%
Subcontracting costs	1,770	1,681	5.3%	1,139	55.4%	1,734	2.1%
Purchase of traded goods	253	283		204		292	
Other expenses	754	738		791		761	
Total Operating Expenditure	9,895	9,440	4.8%	7,041	40.5%	9,739	1.6%
EBITDA	1,643	1,585	3.7%	1,722	(4.6%)	1,636	0.5%
EBIT	1,162	1,111	4.6%	1,277	(9.0%)	1,165	(0.2%)
Less: Depreciation	481	474	1.5%	445	8.1%	471	2.1%
Less: Interest	89	89	0.0%	122	(27.0%)	89	
Add: Other income	723	241	200.0%	66	995.5%	241	200.0%
Profit Before Tax	1,796	1,263	42.2%	1,215	47.8%	1,317	36.4%
Adjusted Profits	1,796	1,263	42.2%	1,221	47.1%	1,317	
Less: Total Tax	488	339	44.0%	309	57.9%	353	
PAT	1,308	924	41.6%	906	44.4%	963	35.8%
Adjusted PAT	1,308	924	41.6%	912	43.4%	963	35.8%
Reported Diluted EPS (Rs.)	5.8	4.1	41.6%	4.0	44.4%	4.3	
Adjusted Diluted EPS (Rs.)	5.8	4.1	41.6%	4.0	43.4%	4.3	35.8%
No of Shared Diluted (mn)	226	226		226		226	
Margin Analysis %			Change in bps		Change in bps		Deviation in bps
EBIT margin	10.1%	10.1%	(0)	14.6%	(450)	10.2%	(17)
EBITDA Margin	14.2%	14.4%	(13)	19.7%	(541)	14.4%	(14)
NPM	11.3%	8.4%	296	10.3%	100	8.5%	287
Adjusted NPM	11.3%	8.4%	296	10.4%	93	8.5%	287
Effective Tax Rate %	27.2%	26.8%	33	25.4%	174	26.8%	33
Cost Analysis %			Change in bps		Change in bps		Deviation in bps
Employee Cost/Net Sales	61.7%	61.1%	57	56.0%	569	61.1%	58
SG&A/Net sales	15.3%	15.2%	9	13.0%	234	15.2%	9

Valuation & Outlook

Zensar Technologies is currently trading at 15x / 11.8x FY23e/FY24e EPS respectively.

The company reported a decent performance in Q4FY22 which was broadbased across verticals, industries and SGOs. Management indicated that the company is well into execution phase of 'Strategy Refresh' and on track as far as gestation period of 4-8 quarters is concerned.

Margin guidance of mid-teens in the medium term and high teens in the long term is encouraging and achievable given the levers (fresher hiring, right-shoring, near-shoring and better pricing) and gradual cooling-off of attrition.

We expect H1FY23 to be a gestation period and Strategy Refresh to yield results from H2FY23 onwards.

Our earlier rating was BUY on dips with a target of INR 529 at 20x FY24e EPS. **Given that sentiments globally and more specifically in the Indian IT Services market have weakened which has dragged benchmark as well as overall valuations, we reduce our target multiple from 20x FY24e to 17x FY24e and upgrade our rating from BUY on dips to BUY (since stock has corrected by 20% since our initiation price) with a target price of INR 425.**

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	41,817	37,814	42,437	50,072	56,668
<i>Growth %</i>	<i>5%</i>	<i>-10%</i>	<i>12%</i>	<i>18%</i>	<i>13%</i>
Less:					
Employee benefits expense	23,474	21,526	25,749	30,873	34,624
Subcontracting costs	6,588	5,233	6,173	7,275	7,142
Purchase of traded goods	1,525	1,134	1,102	1,098	1,700
Other expenses	4,850	2,803	2,847	3,272	3,994
Total Operating Expenditure	36,746	30,966	35,871	42,518	47,459
EBIDTA	5,071	6,848	6,566	7,554	9,209
<i>Growth %</i>	<i>6%</i>	<i>35%</i>	<i>-4%</i>	<i>15%</i>	<i>22%</i>
Less: Depreciation	1,592	1,747	1,849	2,141	2,240
EBIT	3,479	5,101	4,717	5,413	6,968
<i>Growth %</i>	<i>-11%</i>	<i>47%</i>	<i>-8%</i>	<i>15%</i>	<i>29%</i>
Interest Paid	605	535	354	391	374
Non-operating Income	884	255	1,377	1,093	1,159
Profit Before tax	3,758	4,329	5,740	6,115	7,754
Tax	1,042	1,260	1,524	1,661	2,107
Net Profit before Minority	2,716	3,070	4,216	4,454	5,647
Net Profit	2,716	3,070	4,216	4,454	5,647
Adjusted Profit	2,716	3,561	4,216	4,454	5,647
<i>Growth %</i>	<i>-15%</i>	<i>31%</i>	<i>18%</i>	<i>6%</i>	<i>27%</i>
Reported EPS	12.0	15.8	18.7	19.7	25.0
<i>Growth %</i>	<i>-15%</i>	<i>31%</i>	<i>18%</i>	<i>6%</i>	<i>27%</i>
Adjusted EPS	12.0	15.8	18.7	19.7	25.0
<i>Growth %</i>	<i>-14.8%</i>	<i>31.1%</i>	<i>18.4%</i>	<i>5.6%</i>	<i>26.8%</i>

Key Ratios					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
EBIDTA (%)	12.1%	18.1%	15.5%	15.1%	16.3%
NPM (%)	6.5%	8.1%	9.9%	8.9%	10.0%
RoE (%)	13.5%	16.1%	16.9%	15.7%	17.6%
RoCE (%)	14.1%	19.0%	16.8%	17.1%	19.6%
Tax Rate %	27.7%	29.1%	26.5%	27.2%	27.2%
Book Value Per share (Rs.)	92.5	103.6	117.7	132.5	151.3
Valuation Ratios					
P/E (x)	24.5x	21.7x	15.8x	15.0x	11.8x
EV/EBITDA	12.7x	8.8x	8.5x	6.9x	5.3x
P/BV (x)	3.2x	2.8x	2.5x	2.2x	2.0x
Market Cap. / Sales (x)	1.6x	1.8x	1.6x	1.3x	1.2x

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Liabilities					
Equity Capital	451	451	452	452	452
Reserves & Surplus	20,112	22,786	26,159	29,499	33,735
Equity	20,900	23,423	26,611	29,951	34,187
Net Worth	20,900	23,423	26,611	29,951	34,187
Others	486	187	547	649	724
Capital Employed	28,696	27,394	31,286	34,556	38,953
Assets					
Net Block	1,294	1,134	1,280	1,312	1,322
Investments	794	1,846	1,579	1,808	2,006
Current Assets					
Sundry Debtors	6,656	5,888	6,743	7,819	8,850
Cash and Bank Balance	5,166	6,986	11,366	14,815	18,415
Total Current Assets	20,576	19,928	26,173	31,147	36,615
Less: Current Liabilities					
Sundry Creditors	2,650	2,201	2,752	3,378	3,901
Total Current Liabilities	7,260	6,940	8,008	9,607	10,871
Miscellaneous Assets	1,245	1,230	1,230	1,230	1,230
Capital Applied	28,696	27,394	31,286	34,556	38,953

Cash Flows (Consolidated)

YE March (Rs. Mn)	FY20	FY21	FY22	FY23E	FY24E
PAT	2,716.0	3,069.8	4,216.2	4,453.9	5,647.4
Less: Non Operating Income	(884.2)	(254.5)	(1,377.0)	(1,093.3)	(1,159.3)
Add: Depreciation	1,591.8	1,747.1	1,849.0	2,140.7	2,240.4
Add: Interest Paid	605.1	535.3	354.0	391.2	373.6
Operating Profit before WC Changes	4,028.7	4,606.7	5,042.2	5,892.5	7,102.1
(Inc)/Dec in Current Assets	668.9	1,527.9	(1,865.1)	(1,525.2)	(1,868.1)
Inc/(Dec) in Current Liabilities	(837.0)	(319.4)	1,068.1	1,598.4	1,264.4
Changes in Inventory	43.4	941.2	0.0	0.0	0.0
Net Cash Generated From Operations	3,904.0	6,756.4	4,245.2	5,965.7	6,498.5
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(1,859.4)	(1,587.0)	(1,994.7)	(2,172.7)	(2,250.6)
Net Cash Flow from Investing Activities	(500.9)	(1,210.9)	1,157.9	(1,114.4)	(1,188.0)
Cash Flow from Financing Activities					
Dividend Paid	(632.8)	(813.6)	(843.2)	(1,113.5)	(1,411.8)
Net Cash Flow from Financing Activities	(1,680.2)	(3,775.4)	(1,023.3)	(1,402.2)	(1,710.4)
Net Inc/Dec in cash	1,722.9	1,770.1	4,379.8	3,449.2	3,600.1
Opening Balance	3,259.1	5,165.7	6,986.2	11,366.0	14,815.2
Closing Cash	4,982.0	6,935.8	11,366.0	14,815.2	18,415.3

Free Cash Flow Statement

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
EBITDA	5,071	6,848	6,566	7,554	9,209
FC Investment	-328	784	216	-379	-459
WC Changes	-125	2,150	-797	73	-604
Depreciation Tax Shield	441	508	491	582	609
Tax Expenses	1,042	1,260	1,524	1,661	2,107
FCF	6,101	11,550	8,000	9,491	10,862

Key Ratios (Consolidated)

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	12.1%	18.1%	15.5%	15.1%	16.3%
Tax / PBT (%)	27.7%	29.1%	26.5%	27.2%	27.2%
Net Profit Margin (%)	6.5%	8.1%	9.9%	8.9%	10.0%
RoE (%)	13.5%	16.1%	16.9%	15.7%	17.6%
RoCE (%)	14.1%	19.0%	16.8%	17.1%	19.6%
Current Ratio (x)	2.8x	2.9x	3.3x	3.2x	3.4x
Dividend Payout (%)	23.3%	26.5%	20.0%	25.0%	25.0%
Book Value Per Share (Rs.)	92.5	103.6	117.7	132.5	151.3
Financial Leverage Ratios					
Debt/ Equity (x)	0.1x	0.0x	0.0x	0.0x	0.0x
Interest Coverage (x)	8.4x	12.8x	18.5x	19.3x	24.6x
Growth Indicators %					
Growth in Gross Block (%)	23%	-6%	20%	15%	13%
Sales Growth (%)	5.4%	(9.6%)	12.2%	18.0%	13.2%
EBITDA Growth (%)	5.8%	35.1%	(4.1%)	15.0%	21.9%
Net Profit Growth (%)	(14.8%)	31.1%	18.4%	5.6%	26.8%
Diluted EPS Growth (%)	(14.8%)	31.1%	18.4%	5.6%	26.8%
Turnover Ratios					
Debtors (Days of net sales)	58	57	58	57	57
Creditors	26	26	28	29	30

Source: Dalal & Broacha Research, Company

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